

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-10

BED BATH & BEYOND INC. v. YANG MING MARINE TRANSPORT CORP.

**COMPLAINANT’S RESPONSE TO THE ORDER ON MOTION TO REOPEN RECORD
AND TO SUBMIT SUPPLEMENTAL INFORMATION**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned attorneys, respectfully submits this response to the Presiding Officer’s July 16, 2026 Order on Motion to Reopen Record and to Submit Supplemental Information (the “Order”). Part I below answers each of the Order’s Requests for Information Directed to Complainant, and attaches the supplemental charts required by Requests Nos. 3 through 8, referencing the Expert Report by John McCown submitted in this case, and the Expert Report submitted by John McCown in FMC Docket No. 23-02, *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Ltd.* (“23-02 McCown Appendices”). Part II below provides Complainant’s discussion pursuant to the Order’s Request No. 9. Consistent with the Order’s guidance that the parties “should take care not to over-designate confidential information, particularly concerning total reparations sought and related damages calculations,” Order at 3, Complainant submits this response and its accompanying appendices publicly, without redaction.

I. RESPONSES TO THE REQUESTS FOR INFORMATION

Request No. 1. This proceeding’s McCown Appendix A-1 contains 501 distinct shipment entries (502 rows of data including the row of column titles). APP 1284-1304. Complainant

confirms that the shipments listed in this proceeding's Appendix A-1 sum to 851.75 FEUs. APP 1284.

Request No. 2. Of the 501 distinct shipment entries included in this proceeding's McCown Appendix A-1, all 501 entries had also been included in the 23-02 McCown Appendix B-1. Stated in terms of FEUs, all 851.75 FEUs reflected in this proceeding's Appendix A-1 were cross-listed in the 23-02 McCown Appendix B-1.

Request No. 3. As directed, Complainant attaches Appendix A-1(a), which replicates all rows and columns of data contained in this proceeding's McCown Appendix A-1 and adds a column indicating 'Included in 23-02 App. B-1, Yes or No,' completed for each of the 501 rows of data. APP-1997 – APP-2021. Consistent with the response to Request No. 2, the added column reflects 'Yes' for every row.

Request No. 4. As directed, Complainant attaches Appendix A-1(b), which replicates this proceeding's Appendix A-1 with all entries that had been cross-listed in the 23-02 McCown Appendix B-1 omitted. APP-2022. Because every entry in this proceeding's Appendix A-1 was cross-listed in the 23-02 McCown Appendix B-1, Appendix A-1(b) contains no shipment entries, and, as instructed by the Order, states at its top: "The shipments in this chart sum to 0 FEUs."

Requests Nos. 5, 6, and 7. As directed, Complainant attaches Appendices A-2(b), A-3(b), and A-4(b). APP-2023 – APP-2025. Because the new Appendix A-1(b) contains no shipment data for the reasons stated above, each of Appendices A-2(b), A-3(b), and A-4(b) is necessarily blank, and each so states on its face.

Request No. 8. Complainant has affixed unique APP Bates numbers, not previously used in this proceeding, to each page of the supplemental charts attached to this response, running APP-1997 through APP-2066.

Request No. 9. Complainant provides the discussion permitted by Request No. 9 in Part II below. In addition, and as part of that discussion, Complainant attaches supplemental Appendices A-1(c) through A-4(c), APP-2026 – APP-2066, which replicate the format of this proceeding’s McCown Appendices A-1 through A-4 using only NVO/FF shipments that were *not* included in the 23-02 McCown Appendix B-1, *drawn exclusively from shipment data already in the record of this proceeding*.

II. DISCUSSION PURSUANT TO REQUEST NO. 9

Request No. 9 invites discussion of “why shipments being included in the 23-02 McCown Appendices, for which reparations have already been granted, should or should not preclude these shipments being utilized in support of reparations for 23-10 shortfall damages.” Order at 4. The inclusion of those shipments in the 23-02 McCown Appendices should not preclude their use here for multiple independent reasons. *First*, the *BBBY v. OOCL* Initial Decision explicitly held that the NVO/FF shipments used to calculate damages were not specific to OOCL and could be properly used in other shortfall cases by BBBY against other carriers. *Second*, no double recovery has actually occurred or is imminent: the Initial Decision in FMC Docket No. 23-02 is not final but instead is presently inoperative pending review by the Commissioners of the Federal Maritime Commission on the exceptions filed by the parties in Docket No. 23-02, and BBBY has not actually received any payment on account of any such shipment at issue. *Third*, even if the Presiding Officer were to disregard every overlapping shipment, the record in this proceeding independently contains more than enough non-overlapping NVO/FF shipments to support substantial shortfall damages, as demonstrated by supplemental Appendices A-1(c) through A-4(c). *Fourth*, BBBY’s aggregate shortfall injury across the relevant proceedings exceeds the total volume of replacement shipments identified in both proceedings combined, so awarding reparations in this proceeding

cannot overcompensate BBY. *Fifth*, if an actual damages award against Respondent did cause Respondent to pay damages attributable to other carriers, the remedy for Respondent would be to pursue those carriers for contribution, not an adjustment of the award at this stage.

A. The NVO Shipments Are a Measuring Stick, Not the Injury Itself, and They Are Not Specific to Any Carrier.

Based upon the explicit reasoning by Chief Administrative Law Judge Wirth in the *BBY v. OOCL* Initial Decision, the usage of any shortfall NVO containers to calculate reparations in that proceeding *has no bearing* on how those shortfall NVO containers are used to calculate reparations in the present proceeding. *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Ltd.* (“*BBY v. OOCL*”), FMC Docket No. 23-02, 2026 WL 1285696 at *12 (FMC ALJ Apr. 24, 2026) (the “23-02 Initial Decision”). Chief Judge Wirth held that “BBY's charges from NVO/FFs to transport containers are relevant to *quantifying* the actual injury. *This data is not specific to any particular carrier*, just as cargo is not specific to any particular carrier, but rather actual data regarding BBY's costs.” *Id.* (emphasis added). Applying that reasoning, the NVO/FF shipments from the OOCL case *are not specific to OOCL and can be used again*.

The NVO spot-market shipments themselves are not the injury they are simply a convenient tool for quantifying the damages of the actual injury: YM’s failure to carry containers in violation of the Shipping Act. The Shipping Act entitles an injured complainant to reparations for its “actual injury”. 46 U.S.C. § 41305(b). As Judge Wirth further explained:

From a liability perspective, the question is whether a respondent failed to carry containers in violation of the Shipping Act. If so, at the reparations stage, the question is what reparations amount would provide compensation with a reasonable degree of certainty. Thus, when a carrier unlawfully fails to ship containers, it has given up responsibility for and control over the costs associated with shipping that container.

23-02 Initial Decision at *163. Thus, containers are fungible and “shippers and ocean carriers . . . do not agree to transport specific containers or specific goods but rather a total number of

containers”, and accordingly, as noted above, “the violation is based on the number of containers out of the MQC that a respondent failed to transport . . . not on the journey of a particular container.” *Id.* at *162.

Liability is established by YM’s failure to carry its committed volume, while the amount of damages is a matter of “reasonable approximation supported by evidence and by reasonable inferences.” *Id.* at *158. The NVO/FF shipments reflected in Complainant’s Appendices submitted in this proceeding are a reasonable measuring stick for the incremental additional cost BBY incurred in connection with Respondent’s failure to carry the volume it had committed to carry.

As Judge Wirth noted, “*it would be odd if these actual costs incurred by BBY varied from one case to the next.*” *Id.* (emphasis added). If the NVO shipments used as damages in the OOCL proceeding *were* unusable for damages in other cases, then BBY would be in the strange position of simply picking which carrier to punish the most and which to punish the least. BBY could choose to use all of its most expensive replacement containers against a carrier with a minor shortfall, and only cheap replacement containers against a carrier with a major shortfall. This would lead to damages awards that were arbitrary, unpredictable, and poorly correlated to a carrier’s actual performance at delivering MQC. Damages awards made on this basis would not properly incentivize carriers to provide adequate service because the financial consequences would be disconnected from their failure. The actual rule, as explained by Judge Wirth, ensures that damages are always proportionate to the actual MQC shortfall by the carrier and do not wildly swing between carriers based on the preferences of the complainant. This is the more just, predictable, and equitable method of damages calculations that best incentivizes carriers to provide adequate service.

B. The 23-02 Initial Decision Is Not Final, and No Double Recovery Has Actually Occurred or Can Occur Absent Two Future Contingencies.

The premise of any preclusion concern is the risk that BBY might be compensated twice for the same incremental additional costs. That risk remains contingent and remote. The 23-02 Initial Decision is not a final decision of the Commission. The respondents in that proceeding filed exceptions to the 23-02 Initial Decision (as did Complainant), and briefing on those exceptions remains pending before the Commission. *See* FMC Docket No. 23-02, Respondents’ Exceptions to the Initial Decision, 2026 WL 1879511 (June 23, 2026); Complainant’s Exceptions to the Initial Decision, 2026 WL 1879512 (June 23, 2026); Respondents’ Response to Complainant’s Exceptions to the Initial Decision, 2026 WL 2241904 (July 23, 2026); Complainant’s Response to Respondents’ Exceptions to the Initial Decision, 2026 WL 2241907 (July 23, 2026). Under the Commission’s rules, the filing of exceptions renders an initial decision “inoperative until the Commission determines the matter,” 46 C.F.R. § 502.227(a)(5), and an initial decision becomes the decision of the Commission only if review is not sought within thirty days of service. *See* 46 C.F.R. § 502.227(a)(3). The Commission, moreover, reviews an initial decision with “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The 23-02 Initial Decision may therefore be affirmed, modified, reversed, or remanded for further proceedings (and any final award would remain subject to further judicial review). The respondents in Docket No. 23-02 (collectively, “OOCL”) have not paid any portion of the amounts that the 23-02 Initial Decision awarded to BBY, whether on the basis of any shipment listed in the 23-02 McCown Appendices or otherwise. Accordingly, no award of reparations in an Initial Decision in this proceeding would result in any actual double compensation.

As BBY explained in opposing Respondent’s motion, an issue “is not ripe for adjudication if it rests upon contingent future events that may not occur as anticipated, or indeed may not occur at all.” *Endeley v. United States Dep’t of Def.*, 268 F. Supp. 3d 166, 175 (D.D.C.

2017); the November 13, 2025 Complainant’s Opposition to Respondent’s Motion to Reopen the Record and Supplement the Briefing at 7. That remains true today: unless and until (i) the 23-02 Initial Decision becomes administratively final in a form that awards reparations based on any shipments listed in the 23-02 McCown Appendices, and (ii) that award is actually satisfied by the respondents in that proceeding, there is no double recovery to guard against, only the *possibility* of one.

Commission precedent confirms that double-recovery concerns turn on amounts a complainant has *actually received*, and that such concerns are addressed by adjustment of the remedy—not by denying or discounting reparations against a respondent whose violation has been proven. In *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Docket No. 1966(I), 2022 WL 18068977 (FMC Dec. 29, 2022) (Order Affirming the Initial Decision), the claimant trucker had already been reimbursed, with a markup, by the beneficial cargo owner for the very per diem charges it sought as reparations. The Commission nevertheless affirmed the award of reparations against the carrier, holding that the carrier could not “avoid responsibility by claiming Claimant was later reimbursed,” and the double-recovery problem was cured on the remedy side, by requiring the claimant to return the amounts that it had actually received from the third party. *Id.* at *7–8; *see also In re Vehicle Carrier Servs.*, 2019 WL 5558120 at *6 (FMC 2019) (a respondent cannot rely on a pass-on or reimbursement theory to avoid liability for reparations). The same logic controls here, where—unlike in *TCW, Inc.*—BBBY has received nothing at all. Respondent’s liability for its own shortfall should be adjudicated on the existing record in this proceeding, and in the event reparations are awarded in this proceeding, any hypothetical future overlap in recoveries can be addressed at that time through an appropriate adjustment or offset mechanism tied to amounts BBBY *actually* receives in Docket No. 23-02.

Accordingly, the Presiding Officer may proceed to a determination on the merits and on reparations using the shipments presented in this proceeding's McCown Appendices A-1 through A-4, with any adjustment for actual double recovery reserved for the time—if it ever comes—when a final, satisfied award in Docket No. 23-02 *actually* compensates BBY on the basis of the same shipments. In the alternative, the Presiding Officer possesses ample authority to determine liability on the current record and hold the calculation of reparations in abeyance pending final resolution of Docket No. 23-02. *See* 46 C.F.R. § 502.25 (presiding officer's authority to regulate the proceeding and dispose of matters that normally and properly arise in its course); Order at 3.

C. In Any Event, the Record Contains More Than Enough Non-Overlapping Replacement Shipments to Support Substantial Shortfall Damages: Appendices A-1(c) Through A-4(c).

Even if the Presiding Officer were to conclude that shipments included in the 23-02 McCown Appendices should not be utilized in support of reparations here, the result would not change, because the record of this proceeding already contains ample *additional NVO/FF shipments, on lanes covered by the 2021 Service Contract, during the 2021 Service Contract year, that were never included in the 23-02 McCown Appendix B-1*. To demonstrate this concretely, and in the format the Order prescribes for the (b)-series charts, Complainant attaches supplemental Appendices A-1(c) through A-4(c). APP-2026 – APP-2066.

Appendix A-1(c) lists actual shipments undertaken by BBY during the 2021 Service Contract year, on lanes covered by the 2021 Service Contract, using NVOs or freight forwarders—*none of which was included in the 23-02 McCown Appendix B-1*—and includes, for transparency, the same 'Included in 23-02 App. B-1, Yes or No' column required by Request No. 3, reflecting 'No' for *every row*. The shipments in Appendix A-1(c) sum to 822.375 FEUs, as against Yang Ming's 2021 shortfall of 823.00 FEUs. APP-2026; APP-2066. Appendix A-1(c) does not exhaust the qualifying shipments in the record: because Complainant's shortfall damages are

capped at Respondent's 823.00 FEU shortfall, Appendix A-1(c) lists only enough non-overlapping NVO/FF shipments to reach that cap, and the container-level shipment data of record — BBY_YM-0000335020 and BBY_YM-0000170589 — reflects additional NVO/FF shipments, on lanes covered by the 2021 Service Contract, during the 2021 Service Contract year, beyond those listed. *See* Declaration of Gregory A. Crapanzano, dated April 14, 2025 (Dkt. 49) ¶¶ 9, 15; Opposition to Motion to Reopen at 6, 8.

Appendix A-2(c) summarizes the number of containers, by container size, shipped by lane, APP-2060 – APP-2061; Appendix A-3(c) calculates how much BBY would have paid had it shipped each of those loads via Yang Ming at the freight rates specified in the 2021 Service Contract, APP-2062 – APP-2065; and Appendix A-4(c) summarizes the resulting incremental expense. APP-2066. As shown in Appendix A-4(c), BBY incurred \$9,210,687.00 in spot/NVO freight costs for those 822.375 FEUs, against a but-for cost of \$2,377,105.00 at the 2021 Service Contract rates, for excess costs of \$6,833,582.00 attributable to Yang Ming's shortfall. APP-2066.

Critically, Appendices A-1(c) through A-4(c) present no new evidence. Like this proceeding's original McCown Appendices A-1 through A-4, they are drawn exclusively from the container-level shipment data produced in discovery in this proceeding—BBY_YM-0000335020 and BBY_YM-0000170589—the same two documents BBY identified in its interrogatory responses and briefing as the sources of its shortfall analysis. *See* Crapanzano Decl. (Dkt. 49) ¶¶ 9, 15; Opposition to Motion to Reopen at 5–6. They simply re-run the identical, Commission-approved rate-differential methodology on the subset of that record data that has no overlap with the 23-02 McCown Appendices. The exercise confirms what Section B demonstrates arithmetically: whether measured by the original Appendix A-1 shipments or exclusively by non-overlapping shipments, BBY's actual injury from Yang Ming's 2021 shortfall is substantial.

D. The Combined Shortfalls of OOCL and YM Exceed the Combined Spot Market Shipments from the McCown Appendices in the OOCL and YM Proceedings, Because the OOCL Decision Awarded Less Than the MQC Shortfall.

The arithmetic confirms that recognizing BBBY's full injury in this proceeding would not risk overcompensating BBBY. The 23-02 Initial Decision found that BBBY was entitled to shortfall damages "up to the contract shortfall of 1,827.50 FEU for the 2021 service contract", and that the 1,363.875 FEUs of NVO/FF shipments for 2021 identified in the 23-02 McCown Appendix B-1 were "appropriately compensable." 23-02 Initial Decision at *85; Order at 3. Critically, that left 463.625 FEUs of OOCL's liability uncompensated to BBBY. So, unless this case were to award 463.625 FEUs *more* than YM's shortfall cap, the total award cannot exceed BBBY's total shortfall volume.

Put another way, in this proceeding, Respondent's shortfall for the 2021 Service Contract year was 823 FEUs. APP-2066. The two respondent carriers' combined 2021–22 service commitment shortfalls (i.e., OOCL's 1,827.50 FEUs + Yang Ming's 823.00 FEUs = 2,650.50 FEUs) thus exceed the combined volume of unique replacement shipments identified across the two proceedings (1,363.875 FEUs in the 23-02 Appendix B-1 + 822.375 FEUs = 2,186.25 FEUs). In other words, even if BBBY were awarded reparations from OOCL *and* Yang Ming on the basis of every unique replacement NVO/FF shipment identified in *both* proceedings, BBBY's combined recovery would still be less than its combined shortfall injury from OOCL and Yang Ming for the 2021–22 shipping year. On this record, there is no scenario in which BBBY would be made more than whole.

E. If An Actual Award of Damages in the Future Causes Respondent to Pay for Another Carrier's Damages, Respondent's Remedy Would Be to Pursue That Carrier.

Moreover, even if the Presiding Officer awarded damages such that Respondent genuinely believed that it was being held responsible for excess freight costs properly attributable to another

carrier, the remedy for such a hypothetical inequitable allocation among multiple wrongdoers is contribution among them—not the reduction of an injured complainant’s recovery. *Hapag-Lloyd AG and Hapag-Lloyd (America) LLC Respondents and Third-party Complainants, v. CSX Transportation, Inc. Third-party Respondent*, FMC Docket No. 22-35, 2023 WL 2967200 (FMC Apr. 13, 2023) (respondent carrier’s third-party complaint against rail carrier that collected disputed charges); *see BUC Int’l Corp. v. Int’l Yacht Council Ltd.*, 517 F.3d 1271, 1277 (11th Cir. 2008) (contribution “reflects the view that when two or more persons share responsibility for a wrong, it is inequitable to require one to pay the entire cost of reparation,” while the one-satisfaction rule “by contrast, operates to prevent double recovery . . . for a single injury”). The Commission’s rules expressly permitted Respondent to assert a crossclaim or third-party complaint against another ocean common carrier at the outset of this proceeding, *see* 46 C.F.R. § 502.62(b)(4), but Respondent elected not to do so. In any event, the one-satisfaction rule reaches only multiple recoveries for the *same* injury, and Respondent’s shortfall under its own service contract with Complainant is a distinct injury from any other carrier’s shortfall. “[T]he violation is based on the number of containers out of the MQC that a respondent failed to transport . . . not on the journey of a particular container.” 23-02 Initial Decision at *162.

CONCLUSION

For the foregoing reasons, Complainant respectfully submits that the shipments included in the 23-02 McCown Appendices should not be precluded from supporting an award of reparations for Complainant’s injuries that are the subject of this proceeding against Yang Ming; that any double-recovery concern is contingent, unripe, and fully addressable through an adjustment or offset tied to final awarded amounts actually received, through contribution and indemnification among carriers, or by holding the reparations calculation in abeyance pending

final resolution of Docket No. 23-02; and that, in any event, Appendices A-1(c) through A-4(c) demonstrate that non-overlapping record evidence independently supports shortfall damages of \$6,833,582.00. APP-2026 – APP-2066.

Dated: August 14, 2026

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day caused to be served the foregoing document upon Respondent Yang Ming Marine Transport Corp. by emailing a copy to its counsel of record listed below:

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